



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case involved a rapidly growing technology company that operates in multiple geographical locations. The company is currently in the development stage and is continuously experiencing losses. It is also in the process of an IPO application.

The questions cover a wide range of topics. These include risk assessment, controls over IT systems, tests of controls, substantive audit procedures on the opening balance sheet, goodwill impairment, as well as topics related to corporate governance.

Specific Comments

Question 1 – 9 marks

This question required candidates to propose audit procedures over the opening balances for trade receivables, trade and other payables, and convertible bonds. Candidates in general answered this question correctly, though some candidates did not know to perform follow-up work on confirmation discrepancies, and some appeared to lack understanding of the audit procedures for convertible bonds, as they may not have sufficient knowledge of this item.

Question 2(a) – 6 marks

This question required candidates to focus on explaining the audit procedures when circulating bank confirmations. Candidates generally could link up the technical knowledge to the case, but relatively few candidates stated the requirement for sending confirmations to all bank accounts. Some candidates mentioned different types of confirmations, e.g. positive vs negative, rather than stating the proper procedures for circulating bank confirmations.

Question 2(b) – 5 marks

This question required candidates to propose other audit procedures on the cash in banks, rather than sending bank confirmations. Candidates in general answered this question correctly. Most of them were able to respond with relevant procedures around bank reconciliations, review of year-end, and unusual transactions around year-end.



Question 3(a) – 4 marks

This question required candidates to apply the case background and assess the risk of misstatements in the company's goodwill in terms of valuation assertion. Candidates were generally able to evaluate the risk with supporting evidence. Some candidates wrongly applied the concept of materiality, and only a few candidates mentioned that the high volatility of the valuation was due to rapid technological changes and evolving business conditions. Additionally, only a few candidates noticed that the company's ongoing IPO process might induce pressure.

Question 3(b) – 6 marks

This question required candidates to propose audit procedures to address the risk of material misstatements related to the valuation assertion of goodwill. Most candidates were able to link the facts and provide generic answers, but they could not provide detailed audit procedures for evaluating the valuation assertion.

Question 4(a) – 3 marks

This question required candidates to explain what IT general controls are and their implications on financial reporting. The question was relatively straightforward, and candidates were generally able to provide correct answers.

Question 4(b) – 7 marks

This question required candidates to design audit procedures for testing IT automation controls related to the auto-calculation of monthly revenue. Some candidates failed to apply case facts and directly copied irrelevant information from the learning pack. IT audits appear to be the weakest area compared to other questions.

Question 5(a) – 2 marks

This question required candidates to explain the Corporate Governance Code adopted by the Hong Kong Stock Exchange for a company listing on its Main Board. The question was relatively straightforward, and candidates were generally able to provide correct answers.

Question 5(b) – 8 marks

This question required candidates to apply the case background and the Corporate Governance Code to advise and explain to the CFO his proposal on the composition of the audit committee. Most candidates scored good marks, as they could list the key criteria for the committee's composition. Candidates who scored higher marks applied the case background and provided more detailed explanations in their answers.



(II) Section B – Essay/Short Questions

General Comments

Section B covers a wide range of topics testing the candidates on risk assessment when auditing transactions involving related parties, evaluation of audit differences identified during the audit, situations to consider independence, and the involvement of experts. This section comprises various practical situations which are commonly seen and aims to test how candidates apply the auditing standards.

The scope of the examination includes risk assessment, design of audit procedures, and audit execution.

Specific Comments

Question 6 – 12 marks

This question required candidates to analyse the risk assessment for three distinct types of related party transactions: (i) a construction fee payable to a related party which is based on subjective measurement; (ii) lease expenses payable to a related party which is based on written lease agreement; and (iii) loans to a related party with unreasonable commercial terms. Candidates performed well on this question and were able to articulate the risk profile for each of these situations while making appropriate risk assessments.

Question 7 – 12 marks

This question required candidates to prepare a memorandum reporting on the audit team's evaluation of the audit differences identified during the audit which were individually insignificant but may be significant in aggregate. Candidates were also required to provide both quantitative and qualitative analysis. Although a lot of facts were embedded in the question, candidates did not perform well. The majority of the candidates did not answer this question by making use of the facts in the question, therefore they did not score adequate marks.

Question 8(a) – 5 marks

This question required candidates to evaluate the situation with independence threats relating to (i) long association risk of an engagement team member who is subject to rotation; and (ii) an engagement quality control reviewer (EQCR) with his chain of command to the engagement partner. Candidates performed well on this question.

Question 8(b) – 5 marks

This question required candidates to evaluate whether the audit firm can accept the engagement to perform non-audit services. In general, the performance was good, except a minority of candidates who did not have time to answer part (b).



Question 9(a) – 10 marks

This question required candidates to evaluate the risk of a situation where the management's expert was involved for a valuation of a business. Certain exceptions have been identified in the background which would draw the auditor's attention and look for alternative audit work to be performed. The performance of this part was good, and most of the candidates scored adequate points.

Question 9(b) – 6 marks

This question required candidates to propose audit work to handle the situation. Candidates performed well in general, except the ones who did not attempt this part and therefore lost marks.

(III) Conclusion and Recommendation

This examination session included more practical situations to test the candidates' applicability of the standard in a complex and dynamic economic environment. It required candidates to keep themselves abreast of the current business environment. Candidates generally answered questions by referring to the specific case details. However, certain areas such as the new form of the question relating to evaluation of misstatements were still not satisfactory. Many candidates did not effectively apply their technical knowledge to the case or particular scenarios. Additionally, several candidates did not attempt to address some of the more challenging topics.